Calderwood Partners LLC

www.calderwoodpartners.com

June 24, 2009

Steven Lowe

Vice President, Finance

Key Group

Re: Growth Strategy for Key Group

Dear Mr. Lowe:

This letter records the terms on which our firm will help Key Group decide where its growth ought to come from in the years ahead and what capturing it will ask of the company, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have set the terms down at some length and in plain language, because an engagement of this kind proceeds far more surely when both sides have read the same account of it before any work begins, and because the hour spent reconciling expectations at the outset is repaid many times over across the months that follow. I would ask you to read what follows against your own memory of our conversations, and to tell me, before you sign, of any point on which your understanding and mine do not yet agree.

The Question You Have Asked Us to Help Answer

The work is a growth strategy, and its object is a single question answered well rather than a survey of every question that might be put: where Key Group should look for its next several years of growth, and what it would take to realize it. We will begin by establishing where the company earns its money today, segment by segment and, where the data allow, customer by customer, and where within that base demand is strengthening or quietly thinning. From there we will size the markets the company already serves and the near ones it does not, marking the segments where demand is moving. We will then frame the growth options that follow from that picture, whether deeper penetration of the core, extension into an adjacent segment, or extension into new geographies, and we will weigh each on what it would require and what it could reasonably be expected to return. Finally we will rank the options that survive that weighing and lay out a plan for the ones worth pursuing, described plainly enough that your own people can act on it.

Where the Work Ends

It is worth being equally clear about the boundaries, so that none of them is left to inference. This is a strategy engagement, not a valuation, and we take no view on the price of any transaction; we do not raise or arrange financing; and we do not offer legal or tax advice, though we will tell you in writing where a question turns on either and refer you to your own counsel. Our work concludes with a recommendation and a plan you can carry out, and the carrying out remains yours to lead, though we would gladly be asked, under a separate agreement, to help with it later. Should the assignment need to grow, whether at your request or because the analysis brings something unexpected to light, we will describe the change and settle its terms with you before we act on it.

How We Will Go About It

We build from your own numbers rather than from a template, and we document as we go, so that any figure reaching a deliverable can be traced back to a source your finance staff already recognize. We keep findings apart from recommendations and label each for what it is, because the two carry different weight and ought never to be confused for one another. And we bring interim results to you as they firm up, so that nothing in the final material arrives as a surprise.

The People Who Will Do It

Brenda Rodriguez, a senior consultant of the firm, will lead the analysis day to day and will be your team's first point of contact on any matter of substance; the operating and market picture we present will be hers to defend against a hard question. Daniel Leach, a research associate, will carry the market sizing and much of the data collection, and it is he your finance staff will hear from most often. I read every deliverable before it leaves this office. Unless you direct us otherwise, we will treat you, Steven Lowe, as our point of contact for scheduling and for the requests we make of your staff.

Our Fee and the Start of the Work

Our fee to Key Group for the work described above is a fixed $113,000, covering that scope together with the ordinary meetings, correspondence, and interim materials that go with it. We will begin on July 4, 2009, and we have scoped the analysis and the planning to run approximately seven months from that date to the final material, though I will tell you early if the work proves to need more time or less.

How We Will Bill

We will invoice the fixed fee in equal monthly installments across the term, each installment falling due within thirty days of the date of its invoice. Out-of-pocket expenses, principally travel to your sites, are billed at cost and itemized on the invoice, and we do not mark them up.

The Term and Its Ending

The engagement runs from the start date set out above until we deliver the final material, unless either of us brings it to an end sooner, which either party may do on fifteen days' written notice, for a reason or for none. Should it be ended early, you will owe the fee for the work performed to the effective date, prorated against the fixed fee, together with any expenses properly incurred, and we will hand over the work product in whatever state it has by then reached and assist an orderly close.

Confidentiality

We will treat the information you place in our hands as confidential, use it only for this engagement, and disclose it outside our firm only as you direct in writing or as the law requires. Growth work of this kind necessarily touches plans the company has not yet made public, and we will handle it with that squarely in mind. We ask the same of Key Group as to our methods, our workpapers, and the terms of this fee, and these obligations will outlast the engagement itself.

The Limit of Our Liability

We will perform this work with the care and skill our profession expects, and our advice will represent our considered judgment on the information available to us; we do not, however, warrant any particular commercial result, since so much of what follows a strategy depends on decisions and actions that lie with your organization rather than with ours. Our total liability arising out of this engagement, on any theory, is limited to the fees actually paid to us under it, and neither party will be liable to the other for indirect or consequential loss, save that this limit does not reach a party's own fraud or willful misconduct.

Governing Law

This letter, with the copy you countersign, is the whole of our agreement on this engagement and supersedes anything said or written before it, and it may be varied only in a writing signed by us both. It is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules, and any dispute we cannot settle between us will go to mediation before either of us commences litigation.

If the terms above reflect our understanding, I would ask you to sign and date the enclosed copy and return it to me, keeping the second copy for your own file; on its receipt we will confirm the commencement and be ready to begin on the date set out above. If any part of it warrants a conversation first, telephone me this week and I will make the time to talk it through before you sign.

Sincerely,

Julie Ramsey
Managing Principal
Date: June 24, 2009

Steven Lowe
VP Finance, Key Group
Date: June 24, 2009